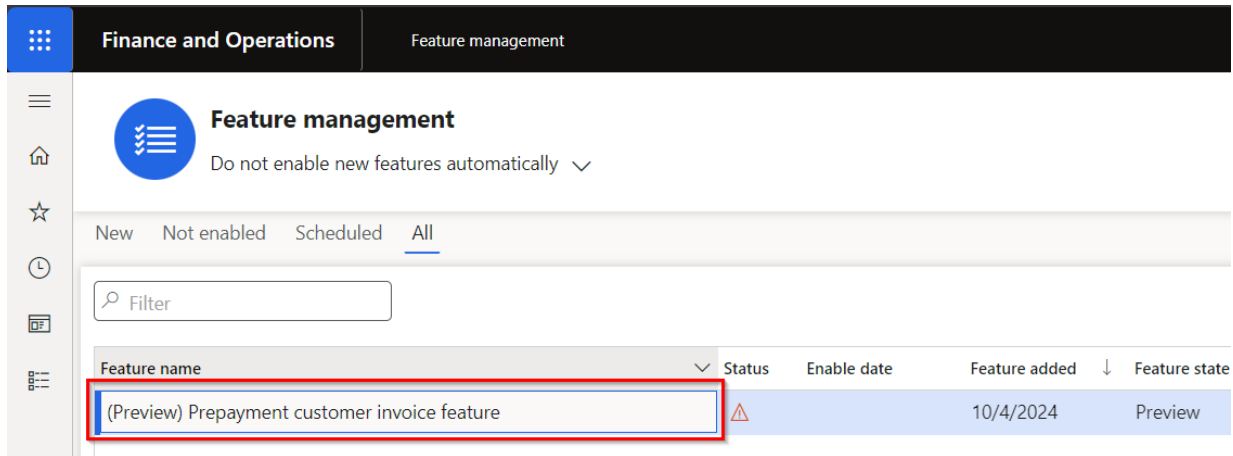


The prepayment customer invoice feature in D365FO version 10.0.41

In D365FO version 10.0.41 a new preview feature is available, the 'Prepayment customer invoice feature':



The screenshot shows the 'Feature management' page in Dynamics 365 Finance and Operations. The page has a sidebar with navigation icons and a main content area. The main content area has a header with 'Feature management' and a toggle for 'Do not enable new features automatically'. Below this are tabs for 'New', 'Not enabled', 'Scheduled', and 'All'. A search bar labeled 'Filter' is present. A table lists features with columns: 'Feature name', 'Status', 'Enable date', 'Feature added', and 'Feature state'. The first row is '(Preview) Prepayment customer invoice feature', which is highlighted with a red box. Its status is 'Preview' (indicated by a warning icon), and it was added on 10/4/2024.

Feature name	Status	Enable date	Feature added	Feature state
(Preview) Prepayment customer invoice feature	⚠️		10/4/2024	Preview

This prepayment invoice functionality can be used to issue the customer a prepayment invoice before the goods or services are delivered. Sales tax is included on the invoice when needed. The goods or services will be delivered when the prepayment is received and prepayments can be applied to the final invoice including automatic settlement.

In this article I describe the setup and the process including an example.

Setup

When the feature is enabled, a new option will become visible in the Inventory Posting profile. on the 'Sales order' tab the new posting type 'Customer Prepayment' becomes available:

Finance and Operations

Inventory management > Setup > Posting > Posting

<

Edit + New Delete Options 🔍

Standard view ▾

Posting

Sales order Purchase order Inventory Production Standard cost variance

~ delivered

☐ Cost of goods sold,
delivered

☐ Cost of units,
invoiced

☐ Cost of goods sold,
invoiced

☐ Reven...

☐ Commissi...

☐ Discou...

☐ Commission
offset

☐ Deferred revenue on
delivery

☐ Deferred revenue offset on
delivery

☐ Deferred sales tax on
delivery

☒ Customer prepayment

☐

Item code

☐

Item relation

We didn't find anything.

On this posting type you can enter a (new created) main account for customer prepayment revenue.

In the Accounts Receivable parameters you can select if the sales order confirmation is needed to be able to create the prepayment invoice:

Set up requirements for delivery, picking lists, packing slips, and invoices

Order lines

Picking list

Packing slip

Invoice

Default settlement type for credit notes
None

Tax exempt number requirement
None

Delete order line invoiced in total
No

Delete order after invoicing
No

Automatic reduction invoice
No

Use exchange rate from source docum...
No

Credit note as correction
No

Print packing material weight
No

Let invoices be submitted to workflow...
No

Apply the credit invoicing layout into ...
No

Default language for sales invoices
Order account

PREPAYMENT

Check mandatory sales order confirma...
No

In my case I have not selected this parameter, so I can use the prepayment functionality without confirming the sales order.

In the Accounts Receivable parameters on the 'Ledger and sales tax' tab, you can find the new field 'Prepayment Application policy' with the values 'Notification' or 'Automatic':

Accounts receivable parameters

General

Updates

Project

Summary update

Shipments

Ledger and sales tax

Settlement

Direct debit

Credit card

Collections

Set up tax options for posting

General

Posting profile
GEN

Primary sales posting
Item

Primary consumption transaction
Item

Primary discount posting
Item

Default dimension hierarchy
Item, Customer, Catalog

Enable date of VAT register changing
No

Enable tax adjustment in detailed mode
No

Post to Revenue account for zero price...
No

FREE TEXT INVOICE

Mandatory item tax groups
No

Suppress depreciation of payment sec...
No

RETURN ORDER AND CREDIT NOTE

Bring forward sales tax transactions
No

Automatic remove sales tax adjustme...
No

PREPAYMENT INVOICE

Prepayment Application Policy
Notification

Notification

Automatic

When the option **Notification** is selected, prepayments are applied manually to the final invoice. With the option **Automatic** selected, prepayments are applied automatically to the sales order if the full payment is received with settlement of the prepayment invoice.

The [process automation](#) 'Background processes' will be used for the automatic settlement posting between the applied prepayment(s) and the final invoice:

Process automations

Standard view * ▾

Scheduled **Background processes**

Filter Edit View most recent results

Name	Type	En...	Company	Repeats	Repeat interval
Automated prepayment settlement posting.	Automated prepayment settlem...	✓	*	Minute	1

Number sequences from scope company are needed for four new number sequence references:

Standard view ▾

Accounts receivable parameters

Collections
Collections process automation
Deductions
Prices
Electronic documents
Inventory dimensions
Rebate program
Margin alerts
Number sequences
Warehouse management
Dynamics 365 Sales integration

Set up number sequences for receivables documents

Group

Reference	Number sequence code
Gift card voucher	Acco_1663
Rebate agreement ID	Sale_840
Split payment voucher	
Prepayment invoice	PI
Prepayment invoice voucher	PIV
Prepayment invoice reversal	PIR
Prepayment invoice reversal voucher	PREIRV

Also you have to create at least one sales category for the revenue account used in relation to the prepayment:

Finance and Operations | Sales and marketing > Setup > Categories > Sales categories

Save + New category node Delete category node Inactivate

New category

Sales hierarchy

- Auto audio systems
- Home audio
- Home video
- Prepayments**

Sales hierarchy | Standard view

Category hierarchy

Name	Code
Prepayments	

General

Created date
10/11/2024 01:38:34 PM

Created by
hbritstra

Creating one or more sales categories is depending on how many main accounts you want to use for the prepayment values. In the posting profile when needed you can split these main accounts based on the sales category:

Finance and Operations | Inventory management > Setup > Posting > Posting

Standard view * ▾

Posting

Sales order | Purchase order | Inventory | Production | Standard cost variance

Select

- ☐ Cost of units, delivered
- ☐ Cost of goods sold, delivered
- ☐ Cost of units, invoiced
- ☐ Cost of goods sold, invoiced
- ☐ Revenue
- ☐ Commission
- ☐ Discount
- ☐ Commission offset
- ☐ Deferred revenue on delivery
- ☐ Deferred revenue offset on delivery
- ☐ Deferred sales tax on delivery
- ☒ Customer prepayment

Item code	Item relation	Category relation	Account code	Main account
Category		Prepayments B2C	All	401300
Category		Prepayments B2B	All	401499

The process

Looking to the process, in basis four steps needs to be done:

1. Add prepayment to sales order
2. Confirm and post prepayment invoice
3. Settle prepayment invoice with payment when customer has paid
4. Apply prepayment invoice to final invoice

To add the prepayment to a sales order, at the top of the form go to the tab 'Invoice' and select the option 'Prepayment proposal':

The screenshot displays the Dynamics 365 Sales interface. At the top, the 'Invoice' menu is highlighted with a red box, and the 'Prepayment proposal' option is also highlighted with a red box. Below the menu, the 'Sales order' details for '000990 : Owl Wholesales' are shown. The 'Requested receipt date' is set to 10/11/2024, and the 'WAREHOUSE' is set to 'Open'. The 'Sales order lines' table shows one line with a unit price of 1,900.

Requested receipt date	WAREHOUSE	Release status
10/11/2024	Open	

Line	Product	Unit Price
1	CW deliver now	1,900

Be aware: at the moment that I describe this option, these fields only become available in the sales order details form, not in the sales order list page!

In the prepayment form that opens, when needed click on edit to create the prepayment and select the prepayment type 'Percent' or 'Fixed' and the corresponding prepayment 'Sales category':

When clicking on this option, the prepayment invoice form opens. Here you can review the proposed information and click on 'Post' when the prepayment can be posted:

The screenshot shows the 'Prepayment invoice' form in a software application. A red box highlights the 'Post' button in the top toolbar. A red arrow points from this button to the 'Invoice lines' section. The 'Prepayment invoice header' section contains fields for Name (Owl Wholesales), Date (10/12/2024), Prepayment status (Open), Invoice account (US-009), and Prepayment invoice. The 'Invoice lines' section is highlighted with a red box and contains a table with one line item.

	Description	Line number	Amount	Sales category
☐	Prepayment invoice line	1.0000000000	300.00	Prepayments

In the voucher of the prepayment invoice you can see that the customer balance from the customer posting profile and the prepayment revenue account from the inventory posting profile are used:

General					
Ledger account	Account name	Currency	Amount in tra...	Amount	Posting type
401499-001---	Prepayment revenue	USD	-300.00	300.00	Customer prepayment
130100-001-	Accounts Receivable - Domestic	USD	300.00	300.00	Customer balance

On the sales order, you can find the posted prepayment invoice which will have the status 'Pending' now:

Prepayment invoice | 000990 : Owl Wholesales | Standard view

Lines Header

Prepayment invoice header

Name

Owl Wholesales

Date

10/12/2024

Prepayment status

Pending

Invoice account

US-009

Prepayment invoice

ARPRE-0000...

Now when the prepayment is paid by the customer, the payment can be settled with the prepayment invoice:

Standard view

Settle transactions for Owl Wholesales

Overview General Payment Settlement Cash discount Financial dimensions

Mark selected Unmark all Show marked Apply payment schedule Inquiry Settle invoice lines Functions Deductions

	Mark	Fully settle	Invoice	Due date	Cash discount date	Amount in tra...	Consolidation ID	Currency	Amount to set...	Amount to set...
	☐	☐	FTI-00000010	7/2/2017	7/2/2017	2,000.00		USD	2,000.00	2,000.00
	☐	☐		11/11/2020		20,570.00		EUR	20,570.00	27,797.30
	☐	☐		6/17/2021		25,712.50		USD	25,712.50	25,712.50
	☐	☐		6/17/2022		31,577.50		USD	31,577.50	31,577.50
	☐	☐		6/17/2023		45,072.50		USD	45,072.50	45,072.50
	☐	☐	CIV-00000719	11/25/2024	10/21/2024	1,750.00		USD	1,712.00	1,712.00
	☐	☐	CIV-00000720	11/25/2024	10/21/2024	1,400.00		USD	1,362.00	1,362.00
☒	☒	☐	ARPRE-0000...	11/26/2024		300.00		USD	300.00	300.00

LINE DETAILS

CASH DISCOUNT

	AMOUNT	TAKEN	TO TAKE	FULL SETTLEMENT
TRANSACTION CURRENCY: USD	0.00	0.00	0.00	0.00
PAYMENT CURRENCY: USD	0.00	0.00	0.00	0.00

INVOICE

DATE	COMPANY	VOUCHER	DESCRIPTION
10/12/2024	usmf	PIV-0000006	Prepayment invoice

After posting the payment of the prepayment, the status of the prepayment invoice on the sales order is changed into 'Received':

Prepayment invoice | 000990 : Owl Wholesales | Standard view

Lines Header

Prepayment invoice header

Name	Invoice account	Date	Prepayment invoice
Owl Wholesales	US-009	10/12/2024	ARPRE-0000...
			Prepayment status
			Received

Invoice lines

Now on the sales order you can go to the option 'apply prepayment':

Finance and Operations Accounts receivable > Orders > All sales orders

Invoice Commerce

Generate Bill Settle Correction Journals

Invoice Payment schedule Open transactions Credit invoicing Invoice

Pro forma invoice Cash flow forecasts

Prepayment

Prepayment proposal

Prepayment invoice

Apply prepayment

Sales order details | Standard view

000990 : Owl Wholesales

Here you can select and apply the prepayments that must be applied to the invoice that will be created:

Apply prepayments Options

Filter

000990

000990 : Owl Wholesales | Standard view

Apply prepayment

Sales order	Invoice account	Total application amount	Total Amount
000990	US-009	300.00	1,900.00

Select prepayments to apply

Select	Application a...	Application re...	Applied amount	Curre...	Invoice account
☒	300.00	0.00	300.00	USD	US-009

Now when you generate the final invoice, on the new tab 'Prepayment invoice' the prepayment amount is applied to the invoice:

← ↻ <https://org43cee523.operations.dynamics.com/?cmp=>

Finance and Operations

Standard view ▾

Posting invoice

Arrange [Select](#) [Printer setup](#) ▾

Parameters

Overview

Setup

Lines

Line details

Sales orders

Prepayment invoice

⌂	Prepayment in...	Applied amount	Invoice account
	ARPRE-0000...	300.00	US-009

When posting this invoice you will see the following transactions on the customer:

Customer transactions | US-009 : Owl Wholesales

Standard view * ▾

Filter Show Date ☐ Hide currency revaluations

	Transaction type	Date	Invoice	Description	Amount in transaction cur...	Balance	Currency
	General journal	10/12/2024			300.00	0.00	USD
	Sales order	10/12/2024	CIV-00000721		1,900.00	1,900.00	USD
	Customer prepayment	10/12/2024	ARPRE-0000...	Prepayment invoice	300.00	0.00	USD

So at first the total amount of the final invoice will be the open balance of the final invoice posting. The applied prepayment is not deducted from the balance of the final invoice. When the earlier activated background task in the process automations has run, the prepayment invoice will be reversed. Settlement of the prepayment invoice reversal will be done with the original prepayment invoice and settlement of the payment transaction of the prepayment invoice will be done with the final invoice:

Customer transactions | US-009 : Owl Wholesales

Standard view * 

Filter Show Date ☐ Hide currency revaluations

☐	Transaction type	Date	Invoice	Description	Amount in transaction cur...	Balance	Currency
☐	General journal	10/12/2024			300.00	0.00	USD
	Sales order	10/12/2024	CIV-00000721		1,900.00	1,600.00	USD
	Customer prepayment	10/12/2024	ARPRE-0000...	Prepayment invoice	300.00	0.00	USD
	Customer prepayment	10/12/2024	ARPREREV-0...	Prepayment invoice reversal	300.00	0.00	USD